majority of actively managed domestic equity mutual funds have generated at most zero alpha after adjusting for luck, trading costs, and fees.

The third study is DALBAR's 2008 Quantitative Analysis of Investor Behavior[4] which demonstrates that investors tend to invest in mutual funds at the wrong time: immediately following substantial price appreciation. They categorize the funds as good investments based on this recent information. These periods tend to precede a subsequent decline in the fund's performance. Then, when prices fall, investors sell their holdings and search for the next hot fund. Based on an analysis of actual investor behavior over 20 years ending on December 31, 2007, the average equity fund investor earned an annualized return of just 4.48 percent—underperforming the S&P 500 by more than 7 percent and outpacing inflation by a mere 1.44 percent. Fixed-income investors fared far worse, losing an average of 1.49 percent in purchasing power per year. Asset allocation fund investors did a bit better, beating inflation by 0.41 percent per year.[5]

These results are consistent with the fourth study we will review conducted by Bogle (2005). Bogle illustrates that returns earned by a group of investors must fall short of the reported market returns or mutual fund returns by the amount of the aggregate costs the investors incur. Thus, we can conclude that the additional costs of moving in and out of funds and lack of performance persistence will generally result in returns lower than those expected by investors. Moving in and out of investments based on categorizations that place undue reliance on recent performance and new information is likely to result in excessive trading and inferior performance results.

Prudent methods for identifying appropriate long-term investments exist., such as using an asset allocation strategy to increase the likelihood of better long-term portfolio returns, and investing in a diversified portfolio to meet financial goals, and sticking with it. The following questions should help investors avoid the futility of chasing returns and also help them select appropriate investments.

1. How does the fund under consideration perform relative to similarly sized and similarly styled funds?
2. What is the tenure of the managers and advisers at the fund?
3. Are the managers well-known and/or highly regarded?
4. Has the fund consistently pursued its strategy, or has its style drifted during different market conditions?

To counteract the effects of the representativeness bias when considering returns, many practitioners use what has become known as the "periodic table of investment returns," as shown in Figure 7.5.